

Foundation Course

Basic Accounting

Code: 1251

Semester: 1

Credits: 4

Revision: 2021

A comprehensive guide to recording transactions, preparing final accounts, and understanding GAAP (US Standard).

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Official Source Declaration

This lesson is strictly based on the official syllabus for **Basic Accounting (1251)**, Revision 2021, provided by the State Institute of Technical Teachers' Training & Research (SITTTR), Kerala.

- **Authoritative Source:** SITTTR Syllabus PDF (Revision 2021).
- **Standard Followed:** GAAP (Generally Accepted Accounting Principles) US Standard as mandated by the syllabus.
- **Department:** Computer Application & Business Management.

Course Dashboard

Category	Foundation Course	Periods/Week	4 (L:3, T:1, P:0)
Total Periods	60 per semester	Credits	4
Prerequisites	Nil	Assessment	CIE (Series Tests) & ESE

How to Study This Lesson

Step 1: Conceptualize

Start with Module 1 to understand the basic terms and the Accounting Equation. Accounting is a language; learn the vocabulary first.

Step 2: Practice

Accounting cannot be learned by reading alone. Use the worked examples in Module 2 and 3 to practice Journal entries and Ledger posting.

Course Outcomes (CO)

CO No.	Description	Hours	Cognitive Level
CO1	Explain the basic accounting terms.	13	Understanding
CO2	Apply the process of journalizing, and ledger posting.	13	Applying
CO3	Explain special journals, preparation of Trial Balance and classification of errors.	16	Applying
CO4	Construct final accounts like Trading, Profit and Loss Account & Balance Sheet and apply adjusting entries.	16	Applying

Syllabus Coverage Map

Module	Major Topics	Weightage (Hours)
1	Meaning, Objectives, Terms, Principles, Accounting Equation, Golden Rules.	13

Module	Major Topics	Weightage (Hours)
2	Double Entry System, Journal, Ledger, Banking Transactions.	13
3	Subsidiary Books, Cash Book, Trial Balance, Errors.	16
4	Trading A/c, P&L A/c, Balance Sheet, Adjustments (Depreciation, Closing Stock).	16

Learning Roadmap

Foundation: Terms & Rules (M1) → **Recording:** Journalizing (M2) → **Classifying:** Ledger (M2) → **Summarizing:** Trial Balance & Special Journals (M3) → **Reporting:** Final Accounts (M4).

Basic Accounting Terms & Principles

Duration: 13 Hours | Cognitive Level: Understanding

Meaning and Definition of Accounting

Accounting is the process of **identifying, measuring, recording, and communicating** economic information to permit informed judgments and decisions by users of the information.

Malayalam support:

ഒരു സംസ്ഥാനത്തിന്റെ സാമ്പത്തിക പ്രവർത്തനങ്ങൾ, സ്വത്തുക്കൾ, സ്വതന്ത്രതയുള്ളതല്ല, അവയെക്കുറിച്ചുള്ള വിവരങ്ങൾ, അവയെക്കുറിച്ചുള്ള വിവരങ്ങൾ സാമ്പത്തിക പ്രവർത്തനങ്ങൾക്ക് സഹായിക്കുന്നു.

Bookkeeping vs. Accounting

Basis	Bookkeeping	Accounting
Scope	Recording & Classifying transactions.	Summarizing, Analyzing & Interpreting.
Stage	Primary stage.	Secondary stage (starts where bookkeeping ends).
Nature	Routine and clerical.	Analytical and specialized.

Basic Accounting Terms

- **Entity:** A business unit that has a separate existence (e.g., a company).
- **Transaction:** An exchange of goods or services for money or money's worth.
- **Assets:** Economic resources owned by the business (e.g., Cash, Building).
- **Liabilities:** Debts or obligations the business owes to outsiders.
- **Capital (Equity):** The owner's investment in the business.
- **Revenue:** Income earned from the sale of goods or services.
- **Expense:** Costs incurred to earn revenue.

Accounting Principles (GAAP US Standard)

Generally Accepted Accounting Principles (GAAP) are the standard framework of guidelines for financial accounting. Key principles include:

- **Business Entity Concept:** Business is treated as separate from its owner.
- **Money Measurement:** Only transactions measurable in money are recorded.
- **Going Concern:** Business will continue to operate for the foreseeable future.
- **Dual Aspect:** Every transaction has two sides (Debit and Credit).

The Accounting Equation

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$$

This is the foundation of the Double Entry System.

Golden Rules of Accounting (Traditional Approach)

Account Type	Debit Rule	Credit Rule
Personal A/c	Debit the Receiver	Credit the Giver
Real A/c	Debit what comes in	Credit what goes out
Nominal A/c	Debit all Expenses/Losses	Credit all Incomes/Gains

Journalizing and Ledger Posting

Duration: 13 Hours | Cognitive Level: Applying

Double Entry Bookkeeping

Every transaction affects at least two accounts. One account is debited and another is credited with an equal amount.

Books of Original Entry: The Journal

The Journal is a chronological record of all transactions. The process of recording in a journal is called **Journalizing**.

Example Transaction: Purchased furniture for cash \$5,000.

Analysis: 1. Furniture A/c (Real A/c) - Comes in - Debit. 2. Cash A/c (Real A/c) - Goes out - Credit.

Journal Entry:

Furniture A/c ... Dr 5,000

 To Cash A/c ... 5,000

(Being furniture purchased for cash)

Ledger Posting

A Ledger is a book containing all accounts (Personal, Real, Nominal). Posting is the process of transferring entries from the Journal to the Ledger.

Account Name	
Debit (Dr)	Credit (Cr)

Standard T-Account Format

Banking Transactions

Recording transactions involving bank accounts, such as deposits, withdrawals, and payments by cheque.

- Cash deposited into bank: Bank A/c Dr, Cash A/c Cr.
- Cash withdrawn for office use: Cash A/c Dr, Bank A/c Cr.

Special Journals (Subsidiary Books)

- **Purchase Day Book:** To record credit purchases of goods.
- **Sales Day Book:** To record credit sales of goods.
- **Purchase Return Book:** To record goods returned to suppliers.
- **Sales Return Book:** To record goods returned by customers.
- **Journal Proper:** For transactions that don't fit in other books (e.g., opening entries, adjustment entries).

A statement prepared with the debit and credit balances of ledger accounts to test the **arithmetical accuracy** of the books.

[illegible]

1. **Errors of Omission:** Transaction completely or partially omitted.
2. **Errors of Commission:** Wrong recording, wrong posting, or wrong totaling.
3. **Errors of Principle:** Violating accounting principles (e.g., treating capital expense as revenue).
4. **Compensating Errors:** One error cancels out another.

Final Accounts and Adjustments

Duration: 16 Hours | Cognitive Level: Applying

Trading Account

Prepared to find out the **Gross Profit** or Gross Loss. It includes direct expenses and direct revenues.

Formula: Gross Profit = Net Sales - Cost of Goods Sold.

Profit and Loss Account

Prepared to find out the **Net Profit** or Net Loss. It includes indirect expenses (like rent, salary) and indirect incomes.

Balance Sheet

A statement of the financial position of a business on a specific date, showing Assets, Liabilities, and Capital.

Adjusting Entries

Entries made at the end of the accounting period to assign revenues and expenses to the period in which they occurred.

- **Closing Stock:** The value of unsold goods at the end of the year. (Credited to Trading A/c, shown as Asset in Balance Sheet).
- **Depreciation:** The permanent decrease in the value of fixed assets due to wear and tear. (Debited to P&L A/c, deducted from Asset in Balance Sheet).

Worked Example: A machine costs \$10,000. Depreciation rate is 10% per annum.

Calculation: $\$10,000 \times 10/100 = \$1,000$.

Adjustment Entry:

Depreciation A/c ... Dr 1,000

To Machinery A/c ... 1,000

Official Activities

Self-Learning & Practice

- Practice journalizing 50 diverse transactions including banking and credit terms.
- Prepare a complete set of Final Accounts from a given Trial Balance with at least 3 adjustments.
- Visit a local small business and observe how they maintain their primary books (Bookkeeping).

Formula Bank

Accounting Equation

$$A = L + E$$

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

Cost of Goods Sold (COGS)

$$\text{COGS} = \text{Opening Stock} + \text{Purchases} + \text{Direct Expenses} - \text{Closing Stock}$$

Gross Profit

$$\text{GP} = \text{Net Sales} - \text{COGS}$$

Net Profit

$$NP = \text{Gross Profit} + \text{Other Income} - \text{Indirect Expenses}$$

Accounting Equation Checker

Assets (\$)

e.g. 5000

Liabilities (\$)

e.g. 2000

Equity (\$)

e.g. 3000

Check Balance

Visual Library

The Accounting Cycle

1. Transaction → 2. Journal → 3. Ledger → 4. Trial Balance → 5. Final Accounts.

Golden Rules Flow

Personal (People) | Real (Things) | Nominal (P&L Items)

Assessment Methodology

Continuous Internal Evaluation (CIE)

- Series Test I (Module 1 & 2)
- Series Test II (Module 3 & 4)
- Attendance & Assignments

End Semester Examination (ESE)

- Total Marks: 75/100 (as per pattern)
- Duration: 3 Hours
- Covers all 4 Modules

Module-wise Questions (Q&A)

Module 1

What is the Business Entity Concept?

It is an accounting principle which states that the business and its owner are two separate legal entities. Therefore, the owner's personal transactions are not recorded in the business books.

Module 2

Why is the Journal called the 'Book of Original Entry'?

Because it is the first place where a business transaction is recorded in a chronological order before being posted to the ledger.

Module 3

Differentiate between Error of Omission and Error of Commission.

Error of Omission occurs when a transaction is completely or partially left out of the books. Error of Commission occurs due to wrong recording, wrong posting, or wrong totaling of an entry.

Module 4

What is Depreciation?

Depreciation is the gradual and permanent decrease in the value of a fixed asset due to usage, wear and tear, or obsolescence. It is treated as an indirect expense.

Practice Model Paper

Practice Model Paper — Not an Official Examination Paper

Part A (Short Answer - 2 Marks each)

1. Define Accounting.
2. What is a Ledger?
3. State the Accounting Equation.

Part B (Medium Answer - 5 Marks each)

4. Explain the Golden Rules of Accounting with examples.
5. Differentiate between Bookkeeping and Accounting.
6. Briefly explain the different types of subsidiary books.

Part C (Long Answer - 10-15 Marks each)

7. Journalize the following transactions in the books of Mr. X...
8. Prepare Trading and P&L A/c and Balance Sheet from the following Trial Balance...

Quick Revision

Exam Checklist

- [] Meaning and Objectives of Accounting
- [] Accounting Equation ($A = L + E$)
- [] Golden Rules of Debit and Credit
- [] Journalizing and Ledger Posting
- [] Cash Book and Trial Balance
- [] Final Accounts (Trading, P&L, Balance Sheet)
- [] Adjustments (Closing Stock, Depreciation)

Glossary

Term	Meaning
Debit (Dr)	The left side of an account.
Credit (Cr)	The right side of an account.
Solvent	A person/firm capable of paying debts.
Insolvent	A person/firm unable to pay debts.
Drawings	Cash or goods taken by the owner for personal use.

Official References

- S.P Jain and K.L Narang, *Advanced Accountancy*, Kalyani Publishers.
- S.N Maheswari and S.K. Maheswari, *Advanced Accountancy*, Vikas Publishers.
- N Balakrishnan Nair, *Advanced Accounts*, N Balakrishnan Nair Publication.
- Online: AccountingCoach.com